

investor presentation, to Tesla and Amazon. After its merger with a SPAC, the happy talk ceased.¹⁹

In 2020, 248 SPACs raised \$83 billion, an enormous sum (indeed, more than in the entire previous decade). In 2021, 613 SPACs raised \$162 billion,²⁰ and more SPACs went public than traditional IPOs. The mania reached such a fever that the average SPAC climbed to \$11.50 per share *prior to any merger announcement*, meaning that cash held by a SPAC, though depleted by significant costs, was trading at a 15% premium to the cash in one's pocket.²¹ Investors were giving sponsors a blank check based on credulity or faith. Many reckoned, in so many words, "They are smart people; they will find something." Of course, each individual investor believed he or she was behaving rationally. They had the comfort of the redemption option—the free look. And if the stock was trading over 10, why should they redeem?

At the height of the mania, shares of SPACs postmerger announcement soared to an average of \$15.77 per share. Not surprisingly, given the glorious returns, four of five SPAC investors chose *not* to redeem.²² Alas, in the spring of 2021, companies that had merged with SPACs, now being public, were exposed for all to see, and performances did not live up to expectations. The bubble cracked, and SPAC prices tumbled. As enthusiasm wilted, more than half of investors in forthcoming SPAC mergers chose to redeem.²³ Volume in new SPAC issues withered. In July 2022, for the first month in five years, not a single new SPAC went to market. Existing SPACs found it increasingly hard to negotiate mergers acceptable to both target

¹⁹ Eliot Brown, "SPACs Are Warning They May Go Bust," *Wall Street Journal*, May 27, 2022.

²⁰ SPACInsider.

²¹ Klausner, et al., *op. cit.*, 76–77.

²² *Ibid.*, 77, 79.

²³ *Ibid.*, 79.